

CONTOSO

Legal - Cross-Border Trading Office | EMEA

CROSS-BORDER TRADING LEGAL INSTRUCTION

Jurisdiction: Federal Republic of Germany (DE)

Document Control

Document Reference	CBTI-DE-2026-011
Jurisdiction	Federal Republic of Germany (DE)
Version / Status	3.2 / Approved
Effective Date	2026-08-16
Next Review Date	2027-08-15
Supersedes	CBTI-DE-2023-007 (v3.1)
Document Owner	Legal - Cross-Border Trading Office, EMEA
Classification	Internal - Restricted

1. Jurisdiction Overview

Regulator / Body	Role
BaFin - Bundesanstalt für Finanzdienstleistungsaufsicht	Conduct and prudential supervision
Deutsche Bundesbank	Ongoing prudential oversight
European Central Bank (SSM)	Supervision of significant institutions

Key legislation: KWG (Banking Act); WpHG (Securities Trading Act); WpIG (Investment Firm Act); MiFID II / MiFIR; EMIR; PRIIPs Regulation; AIFMD Art. 42 (NPPR); GwG (AML Act)

2. Contoso Entities and Legal Basis

Entity	Legal Basis	Scope
Contoso Bank Europe PLC, Frankfurt Branch	EU passport (CRD IV / MiFID II) - branch established with BaFin notification	Full scope of passported investment services; primary booking and client-facing entity for EEA clients
Contoso Bank PLC, London	Third-country firm - BaFin exemption order under Sec. 2(5) KWG dated 12 March 2021	Institutional business only, strictly per the permission matrix in Section 4

3. Client Categorisation

Client categories follow Sec. 67 WpHG (MiFID II): eligible counterparties, per-se professional clients, elective professional clients and retail clients. The matrix below applies to cross-border activity by Contoso Bank PLC, London. Activity by Contoso Bank Europe PLC under its EU passport is not restricted by this matrix and is governed by document CBTI-EEA-2026-001.

4. Product and Service Permission Matrix

Product / Service	Eligible Counterparty	Professional (per se)	Professional (elective)	Retail
Cash equities - execution & dealing	P ¹	P ¹	PR ²	NP
Government bonds - execution & dealing	P ¹	P ¹	PR ²	NP
Corporate bonds & credit - execution & dealing	P ¹	P ¹	PR ²	NP
OTC derivatives - cleared	P ^{1,3}	P ^{1,3}	RS	NP
OTC derivatives - uncleared	P ^{1,3}	PR ³	RS	NP
FX - spot & forwards	P	P	PR ²	NP
Structured products & notes - distribution	PR ⁴	PR ⁴	RS	NP
Fund units (UCITS / AIF) - distribution	PR ⁵	PR ⁵	NP	NP
Investment advice - cross-border	RS	RS	NP	NP
ECM / DCM origination services	P ¹	P ¹	N/A	N/A

P = Permitted | PR = Permitted with restrictions | RS = Reverse solicitation / passive only | NP = Not permitted | N/A = Not applicable. Superscript numbers reference the conditions in Section 7.

5. Marketing and Solicitation Rules

- No cold calling of prospective clients (Sec. 7 UWG); contact requires prior consent or an existing relationship.
- In-country visits by Contoso Bank PLC (London) staff are limited to institutional prospects and must be logged in the Cross-Border Travel Tool before travel.
- Client-facing meetings with EEA retail or elective professional clients must be led by Contoso Bank Europe PLC, Frankfurt.
- Marketing materials must carry approved disclaimer LEG-DE-DISC-04 and may not be addressed to retail investors.
- Events and roadshows in Germany require Legal sign-off at least 10 business days in advance.

6. Documentation Requirements

Client Category	Core Documentation
Eligible Counterparty / Professional	Terms of Business (Institutional, CBPLC London version); MiFID II costs & charges disclosure; EMIR / ISDA documentation suite where applicable; KYC per Group standards and GwG.
Professional (elective)	As above, plus Sec. 67(6) WpHG opt-up file and enhanced appropriateness record.
Retail	Not applicable - no retail business permitted under this Instruction.

7. Conditions and Footnotes

- (1) Conducted by Contoso Bank PLC in reliance on the BaFin exemption order under Sec. 2(5) KWG (12 March 2021); available to institutional clients only and subject to the conditions of that order.
- (2) Elective professional clients require a completed opt-up assessment under Sec. 67(6) WpHG and enhanced appropriateness records before the first transaction.
- (3) EMIR applies: LEI, ISDA Master Agreement and, for uncleared trades, CSA / initial margin documentation must be in place; German FC / NFC+ counterparties are subject to clearing and reporting obligations.
- (4) A PRIIPs KID must be available before distribution; a German-language KID is required for any offer capable of reaching retail investors.
- (5) AIF marketing only under Art. 42 AIFMD national private placement following notification to BaFin; UCITS require a completed marketing passport notification.

8. Tax Considerations

Dividend withholding tax of 26.375% (25% plus solidarity surcharge) applies at source; relief to treaty rates is available via relief-at-source or reclaim (see Group Tax country card TAX-DE-09). No financial transaction tax is currently in force. Fund investments fall within the scope of the German Investment Tax Act (InvStG).

9. Governance and Version History

Version	Date	Owner	Summary of Changes
1.0	2018-05-04	Cross-Border Office	Initial issue.
2.0	2021-03-12	Cross-Border Office	Post-Brexit restructure: CBE passporting; CBPLC Sec. 2(5) KWG exemption.
3.0	2023-09-30	Cross-Border Office	WpLG update; matrix extended to fund distribution.
3.2	2026-08-16	Cross-Border Office	Annual review; matrix refresh; marketing rules updated.

This Instruction is internal guidance for Contoso staff. It is not legal advice; consult Legal - Cross-Border Trading Office before undertaking any activity not expressly permitted above. This document is a synthetic specimen produced solely for testing document-processing systems; regulatory positions shown are illustrative, and Contoso Bank is a fictitious institution.